

LOOMI

New Venture Application

TRANSPARENCY. HONESTY. ETHICAL PRACTICES.
BUILDING CONSUMER TRUST IN EVERY PURCHASE.



LOOMI CERTIFICATION
& CONSCIOUS E-COMMERCE

1. Summary Information

Business Overview

Business Name: LOOMI

Tagline: A certification and discovery platform that features ethically sourced natural-fiber clothing.

Loomi Website: <https://loomi.fetching.design/>

	Name: Sophia Gutierrez Major: Sociology & Technology Management	I'm from Orange County, CA, a UCSB '25 grad in Sociology now pursuing my Master's in Technology Management — and a former four-year Cross Country and Track athlete for the Gauchos. I love being outdoors, whether it's hiking, scuba diving, or sewing, and I'm passionate about building something that makes a real difference in how people shop.
	Name: Miguel Ortiz Major: History of Art and Architecture & Technology Management	I'm originally from the Central Valley, CA, and a UCSB '25 grad in History of Art & Architecture, now in the Master's in Technology Management program. I'm drawn to this team because I'm incredibly passionate about the products we consume and their effects on our bodies and overall health.
	Name: Vaibhava Rajesh Major: Communications	I'm from San Jose, CA, and a current UCSB undergraduate majoring in Communication, Economics, and the Technology Management Program. I was drawn to this team because of the impact this platform could have on sustainability and on reducing fast-fashion consumption.
	Name: Maximillian Lemos Major: Computer Science & Technology Management	I'm from Santa Barbara, CA, and after starting a web and marketing consulting business and teaching myself development, I earned my B.S. in Computer Science from Humboldt State and spent 7 years in software engineering. I'm excited to build on that technical foundation and continue my entrepreneurial journey through the New Venture Program.

Why Us?

We're the right team because we've already been doing the work. For the past 7 months, three of us have been studying market validation, competitive strategy, and entrepreneurship, while our software engineer with 7 years of experience has already built a working fiber-parsing pipeline, and our communication major is positioned to shape how Loomi speaks to its audience. We care deeply about this problem because we've lived it as consumers, and we know that once people understand what synthetic clothing is doing to their bodies, they'll need a trusted place to shop. We're not theorizing about this problem; we've studied it, and we've started building the solution.

2. Executive Summary

2a. Elevator Pitch & Problem

One sentence to describe Loomi is: a certification and clothing discovery platform that shows ethically sourced, natural fiber clothing.

60% of clothing today is made from synthetic fibers such as polyester, acrylic, and nylon. These materials create microplastic shedding that is absorbed into the skin, leading to endocrine disruption, inflammation, and reduced fertility. At the same time, many brands greenwash their products and do not use ethical practices. Loomi solves this by certifying brands that create products using natural fibers, follow ethical practices, and are honest about what is in the clothing they sell.

Throughout our 30+ interviews, we consistently heard this concern. An influencer named Valerie said, “I’m scared of microplastics and hormone disruptors leaching through my skin. When the tag says natural fiber, and it’s actually plastic, I just won’t buy it.” This reflects a repeated issue across our market validation interviews and confirms that this is a real problem within our target market.

2b. Customer Segment

Our ideal customer profile is a health-conscious shopper who is focused on holistic health. Women aged 20-35 who already shop for natural-fiber clothing and prioritize their health in their purchases. Our ideal brand to partner with is a clothing company that prioritizes ethically producing natural-fiber clothing.

The niche we are dominating is health-conscious Gen Z shoppers who use apps like Yuka to scan the healthiness of the products they buy. This will allow us to see how this segment interacts with our platform and what this customer group seeks the most. Beginning with fibers such as cotton, wool, and hemp, with the plan of expansion into numerous other fibers such as linen, alpaca, or cashmere.

2c. Value Proposition

A customer will choose Loomi for 3 main reasons:

1. Loomi verifies that the clothing posted on our website is at least 90% natural-fiber. Loomi explicitly shows the fiber percentage for every garment. This makes it easy to

confirm what you are buying, and you can shop with confidence about what touches your skin.

2. Loomi does the research for you. No more guessing whether a company uses ethical practices. Loomi confirms that the brands on our platform follow ethical sourcing and labor standards.
3. Loomi ensures that products are not greenwashed or misleading about their fiber content. So you never accidentally buy a polyester blend marketed as "sustainable."

2d. How Loomi Works

Loomi is a curated shopping experience for natural fiber clothing. The homepage features browseable collections ("New This Week," "100% Cotton Basics Under \$40," "Top Rated") and category pages organized by clothing type. Every product card includes a Fabric Facts panel, styled like a nutrition facts label, showing the exact fiber composition with percentages, certifications where available, and a natural fiber score. Users see material data before they click, not after.

The Fabric Facts panel is Loomi's signature design element and its core brand asset. The same way a shopper glances at a nutrition label to check sugar content, a Loomi user glances at the Fabric Facts panel to check polyester content. The format is clean, structured, and instantly recognizable, incorporating hand-drawn fiber icons (cotton boll, wool fiber, hemp leaf) that reinforce the tactile, craft-oriented identity.

Visual assets: See Appendix

2e. Differentiation vs. Competition

Loomi differs from competitors because we only list natural-fiber clothing and focus on product-level transparency. Good On You, one of our main competitors, showcases sustainable brands on its platform, but it does nothing to highlight natural fiber products. They will still list a product as 100% polyester if it comes from a sustainable brand. Another competitor, WorldChangerCo, highlights ethical brands with filtering, but does not show individual products, and still includes plastic-based clothing. They still include plastic-based clothing. Loomi consolidates multiple brands into one platform with product-level fiber data, eliminating the need to visit individual brand sites and compare labels manually.

2f. Channels

Loomi's hard side is verified, fiber-level product data paired with affiliate links. We address the cold start problem through a phased approach that prioritizes speed at launch and builds defensibility over time.

Phase 1 (Launch):

We acquire product data and affiliate links independently, without requiring brand partnerships. We join affiliate networks and pull product catalogs from Shopify endpoints, allowing our parsing pipeline to extract fiber composition and merge it with affiliate links. This enables us to launch with 7 brands and ~300–400 verified products without waiting for partnerships.

Phase 2 (Traction):

Once we demonstrate consistent traffic and conversions, we approach top-performing brands for direct partnerships. These partnerships unlock higher commission rates, early access to products, and co-branded content, strengthening defensibility.

Phase 3 (Defensibility):

We introduce community verified fiber accuracy. After purchasing through Loomi, users confirm or flag fiber data based on care tags. Products with 3+ confirmations receive a "Community Verified" badge, while flagged items are reviewed or removed. This creates a compounding trust layer that improves with scale.

3. Customer Discovery & Market Validation

3.1 Initial Thoughts

Our initial hypothesis was that people who wanted natural fiber would find it difficult to identify natural fibers and to understand what is and is not a natural fiber. We believed that discovery was the biggest problem and that we could fix it by providing a platform that only showed natural fiber clothing. With this platform, we would have brands pay to be highlighted on it, as part of our financial model. Through 30+ interviews, we identified patterns that shifted our approach.

3.2 The Pivot

Our first pivot came with our overall mission. Through conversations with natural fiber shoppers, we learned that discovery alone wasn't enough. Consumers also needed assurance that brands are ethical in their production and honest in their marketing. This made us switch to a platform that not only shows natural fibers but also verifies that those natural fibers are

ethically sourced, with labor practices and material sourcing that are honest about what they portray on their labels.

Our next pivot came with our financial model. Validation interviews confirmed that brands are unlikely to pay for certification from a platform without an established user base. This was a big discussion point for our team because our mission was to solve the problem in the clothing industry, and we felt that certification best addressed it. This ultimately led us to switch to an affiliate marketing platform and to make the certification free for companies that met all Loomi criteria. This allows us to generate revenue on our platform through user purchases while still staying true to our mission of solving the big issues in the clothing industry. This will be our starting point. When we build our platform and have a consistent user base, we can start charging for our certification to create another revenue stream for Loomi.

3.3 Revenue Model

Loomi runs an affiliate-first model in Year 1, and revenue is triggered by consumer purchases. When a user clicks through to a retailer and makes a purchase, Loomi earns a blended commission of 8.4% on a \$110 average order value, or **\$9.24 gross per transaction**. After accounting for a 20% fashion return rate (NRF/Upcounting industry data) and the associated commission clawback, we net **\$7.39 per transaction**.

Brand Certification Fees are introduced in Year 2, once we have ~13K active users, a base large enough to make the Loomi Certified badge worth paying for. Fees are tiered: \$300/year for small brands, \$750/year for mid-size brands (revenue \$1–10M), and \$1,500/year for brands with revenue above \$10M. To justify the fee, certified brands receive priority placement in Loomi search results, inclusion in curated collections, and monthly analytics on their fiber data performance relative to category benchmarks.

3.4 Market Opportunity

3.4.1 Total Addressable & Serviceable Markets

The U.S. sustainable apparel market represents a **\$3.5B TAM**, based on blended industry estimates and a bottom-up BLS model. Our SAM focuses on 18.6M consumers who actively purchase sustainable apparel online (not just the 60% who express interest). At ~\$42 annual spend per shopper, this yields a **\$781M serviceable market**. Critically, we size the market based on *behavior*, not stated intent, accounting for a ~30-point gap between what consumers say and what they buy.

3.4.2 SOM: The Geographic Beachhead

Our initial market targets eco-conscious women ages 20–35 in key California regions (LA, San Diego, Santa Barbara, San Francisco), totaling ~1.53M people. Applying a 24% behavioral purchase rate results in ~367K active buyers. At ~\$409 annual spend, this defines a **\$150M beachhead SOM**.

Tier	Dollar Value	Users	Basis
TAM	\$3.5B	~83M shoppers	US sustainable apparel (base case)
SAM	\$781M	18.6M eco-conscious	Active eco-shoppers × \$42 avg
SOM (Beachhead)	\$150M	~367K buyers	24% behavioral buyer rate
Loomi Year 1	\$7,414	6,010 active	1.6% beachhead penetration
Loomi Year 3	\$221,383	21,164 active	5.8% beachhead penetration

3.5. Financial Highlights

Metric	Value
Average Order Value (AOV)	\$110
Commission Rate	8.4% (blended, catalog-weighted across 10 brand partners)
Revenue per User per Year	\$1.23 per active user
Customer Acquisition Cost (CAC)	\$7.28 per paying customer
Lifetime Value (LTV)	\$1.28 per active user (undiscounted); \$1.15 discounted at 10%
LTV / CAC Ratio	0.18×
Gross Margin %	98.9%
Churn Rate (if applicable)	8% monthly

4. Financial Projections & Unit Economics

4.1 Bottom-Up Year 1 Projections

Year 1 projects **32,862 total signups** derived from a channel-by-channel bottom-up model, not reverse-engineered from a revenue target. Three acquisition channels drive installs: university outreach via a 10-intern campus team across six California schools (2,752 installs), bimonthly TikTok paid bursts at \$700 per cycle and \$2.75 CPI (1,530 installs), organic multi-creator content across 10 intern TikTok/Reels accounts leveraging a 4× reach multiplier (21,080 installs), and a one-time Indie App Santa promotional burst in Month 3 (7,500 installs). At a 27% install-to-active rate research midpoint for niche lifestyle apps, above the 24.5% shopping-app median and 8% monthly churn, the platform reaches **6,010 active users** by the end of Year 1.

Those 6,010 active users generate **\$7,414 in Year 1 revenue** at \$1.23 revenue per active user. Year 1 is expected to operate at a planned net loss of **-\$12,690**. Here is exactly where that money goes: \$4,900 in development costs (AI coding tools + freelance help), \$5,250 in marketing (paid ads starting Month 2 at \$350/month, \$900 in campus materials, \$500 Indie App Santa), \$1,800 in API subscriptions, \$2,250 in ongoing AI tools, \$600 hosting, \$3,600 G&A, \$1,500 legal, and \$124 in app store fees totaling \$20,024 in operating expenses against \$7,414 in revenue. Break-even requires ~6,755 active users at steady-state cost levels, which the model reaches in Month 13.

As the platform matures, revenue per active user scales significantly: **\$5.49 in Year 2** and **\$10.46 in Year 3**, yielding \$72,231 from 13,161 active users in Year 2 and \$221,383 from 21,164 active users in Year 3. Years 2 and 3 are net positive at \$24,128 and \$82,928, respectively, with cash-flow positivity reached at Month 7.

4.2 Unit Economics

Year 1 total marketing spend is \$5,250. With 6,010 end-of-year active users and a 12% purchase conversion rate, the model yields 721 paying customers, resulting in a **CAC of \$7.28 per paying customer**. The undiscounted LTV per active user is \$1.28 in Year 1, producing a **Year 1 LTV/CAC ratio of 0.18×**. This is intentionally below 1.0× — Year 1 is an investment year where the acquisition cost has not yet been recovered. By Year 2, as certification and sponsored revenue stack on top of affiliate commissions, LTV per active user rises to \$5.72, and the LTV/CAC ratio improves to 0.42×. At a 10% annual discount, Year 1 LTV is \$1.15 per active user.

On a pure per-transaction basis, variable margin is strong: \$7.39 in net affiliate revenue against \$0.08 in variable server and API costs yields a **\$7.31 variable margin per transaction** (~99% variable margin). However, we want to be transparent about fully-loaded economics. The headline 98.9% gross margin is technically accurate for affiliate COGS (\$80 in variable costs on \$7,414 revenue), but it excludes fixed costs. At Year 1 modeled volume (~84 transactions/month average), the fully-loaded contribution margin after allocated infrastructure, APIs, AI tools, and G&A is meaningfully lower. Variable-unit economics are strong, but fixed-cost leverage only kicks in at scale, which is why Year 1 is a planned net loss and Year 2 turns positive.

4.3 The Killer Constraint: Purchase Conversion

The metric that drives everything is the rate at which active users convert to verified purchases. We model **12% of active users making a purchase**, roughly 2.4 times per year, or once every five months. For context, the standard retail app install-to-purchase benchmark

is 1.38% (UXCam 2026). Our 12% applies to active users only, not total signups; it sits several steps down the funnel. The full acquisition funnel looks like this:

<i>Funnel Stage</i>	<i>Year 1</i>	<i>Rate</i>	<i>Notes</i>
<i>Total Signups</i>	32,862	—	<i>Bottom-up channel model</i>
<i>Active Users (EOY)</i>	6,010	27% activation	<i>After 8% monthly churn</i>
<i>Purchasing Users</i>	721	12% of active	<i>High-intent niche</i>
<i>Total Transactions</i>	1,003	2.4×/yr per buyer	<i>~1 purchase / 5 months</i>
<i>GMV Generated</i>	\$110,326	\$110 AOV	<i>Affiliate-referred fashion</i>
<i>Net Revenue</i>	\$7,414	8.4% comm, -20% returns	<i>After clawbacks</i>

The 12% conversion rate is defensible because of who these users are. Someone who installs Loomi is already searching for natural-fiber clothing. They are pre-qualified by intent. The platform just has to show them something worth buying. As the catalog deepens and AI personalization improves, this rate scales to 15% in Year 2 and 18% in Year 3. To be clear: the 12% is not a visit-to-purchase rate. It is the percentage of retained, active users who complete at least one purchase during the year, several steps down the funnel from total signups.

5. Business Model Canvas

Modified Business Model Canvas

Loomi — Certification & Conscious E-Commerce | UCSB NVC 2026 | v8 Financial Model

Problem	Customer Segments	Value Proposition	Product / Solution	Channels & Go To Market
60% of clothing uses synthetic fibers (polyester, nylon, acrylic) that shed microplastics absorbed through skin - Microplastics cause endocrine disruption, hormonal issues, cell damage, and reduced fertility - Greenwashing makes safety verification impossible without expert research - Safe natural-fiber alternatives are not aggregated or clearly identified	- Health-conscious women aged 20–35 who prioritize holistic health - Use “Clean Living” apps (e.g., Yuka) to avoid toxins - Prioritize convenience over deep research - Beachhead: SoCal + SF (~367K behavioral buyers)	- Verifies clothing is ≥90% natural fiber with explicit fiber percentages (Fabric Facts panel) - Confirms brands use ethical labor and material sourcing practices - Eliminates greenwashing — only honest, verified products listed - One destination for natural-fiber shopping across multiple brands	- Curated platform listing only verified natural-fiber clothing - Fabric Facts panel (like nutrition labels) with fiber composition per garment - Adjustable natural-fiber threshold filter (default: 90%) - Community-verified badges via post-purchase tag confirmation - Loomi Certified badge for qualifying brands	- Organic content: 10 intern TikTok/Reels accounts (64% of Y1 signups) - University outreach: 6 CA campuses via eco-clubs (8%) - Paid TikTok bursts: \$700 bi-monthly at \$2.75 CPM (5%) - Indie App Santa promo: Month 3 burst (23%) - B2B brand partnerships at scale (Phase 2+)
Revenue Model	Unit Economics & Key Metrics			
- Affiliate marketing (Y1): 8.4% blended commission across 10 brand partners - Net \$7.39 per transaction after 20% fashion return clawback - AOV: \$110 (Y1), scaling to \$120 (Y3) - Brand Certification fees (Y2+): \$300–\$1,500/yr tiered by brand size - Sponsored Placement (Y2 Q3+): \$2K/mo scaling to \$8K/mo in Y3 - Y1: \$7.4K Y2: \$72.2K Y3: \$221.4K total revenue	- Net revenue per transaction: \$7.39 (Y1) Variable margin: ~99% - CAC: \$7.28 (paying customer (Y1) \$13.58 (Y2) \$25.88 (Y3) - LTV per active user: \$1.28 (Y1) \$5.72 (Y2) \$10.90 (Y3) - LTV/CAC: 0.18x (Y1, intentional) 0.42x (Y2–3) - Purchase conversion: 12% of active users (Y1) → 18% (Y3) - Gross margin: 98.9% (Y1) 99.7% (Y3) - Active users: 6,010 (Y1) 13,161 (Y2) 21,164 (Y3) - Break-even at ~6,755 active users (Month 13)			
Cost Structure		Y1 total expenses: \$20,024 Net loss: (\$12,690)		
		- Development: \$4,900 (AI tools + freelance, Y1 only) - Marketing: \$5,250 (Y1) \$26.8K (Y2) \$98.4K (Y3) - Infrastructure: \$600 hosting + \$1,800 APIs + \$2,250 AI tools - Legal & compliance: \$1,500 (Y1 one-time TOS/Privacy) G&A: \$3,600 (Y1) \$12K (Y2) \$19.2K (Y3) - Starting capital: \$25K (\$10K NVC + \$15K personal/F&F) - Cash-flow positive Month 7 Net positive Year 2		